Cape Capital

Iran explained

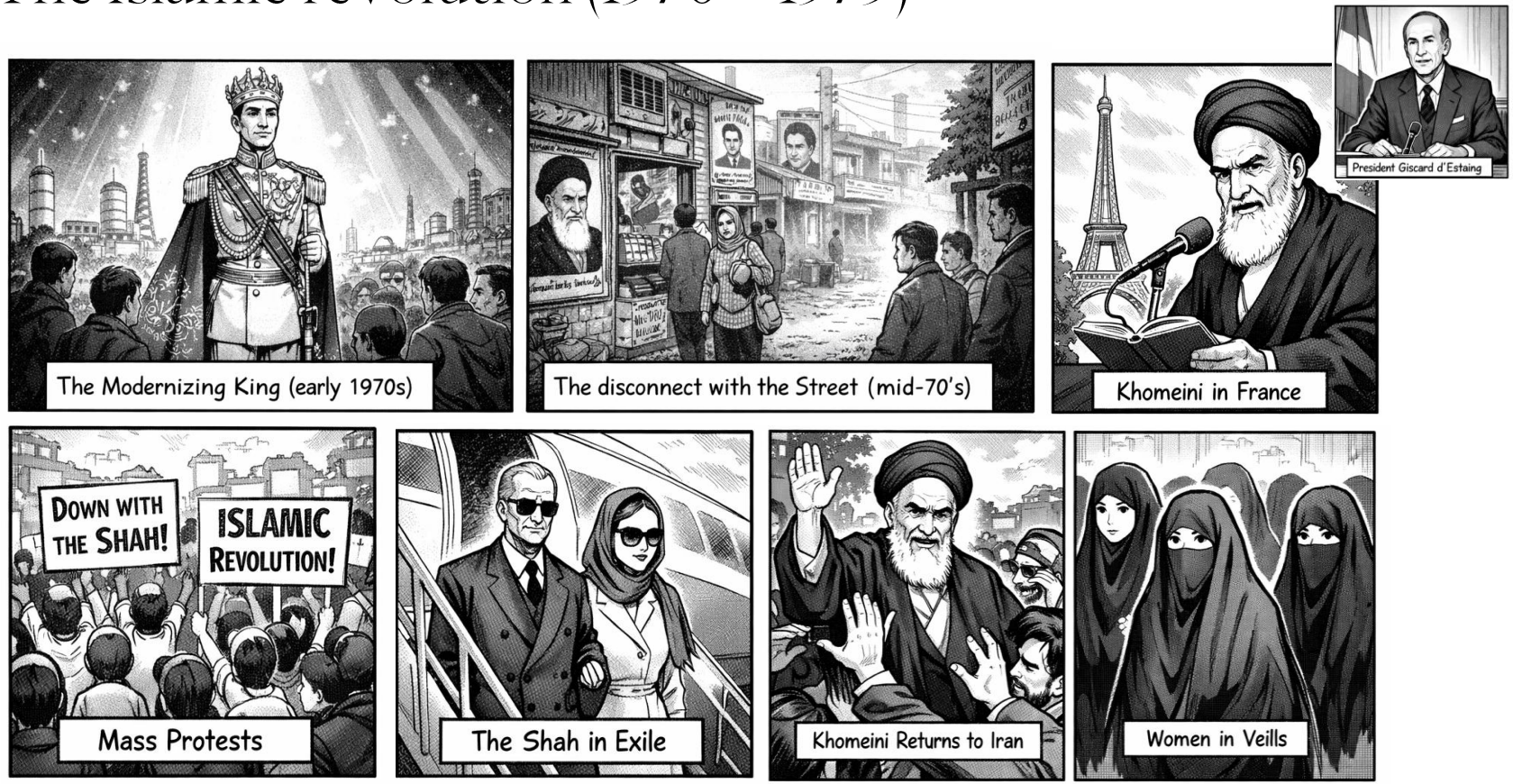
The price of isolation and how they got there

10 MARCH 2026

Country snapshot

- **GDP** **USD** 436.9 bn (2024)
- **GDP per capita** **USD** 4,074 (2025)
- **Population** 92.4 million (2025)
- **Median age** ~33 yrs; 77% urban
- **Land area** 1,648,195 km² (17th)
- **Literacy** ~94% adult literacy rate
- **Religion** ~99% Muslim (90% Shia)
- **Key sectors** Services 51%; Oil 23%
- **Unemployment** ~8%; youth ~22%
- **Inflation** ~42% year-on-year (2025)

The Islamic revolution (1970 – 1979)



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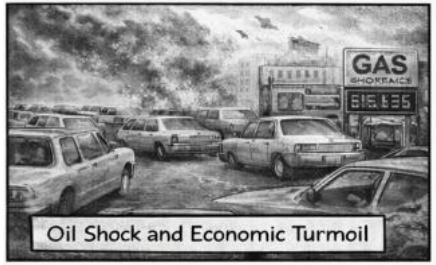
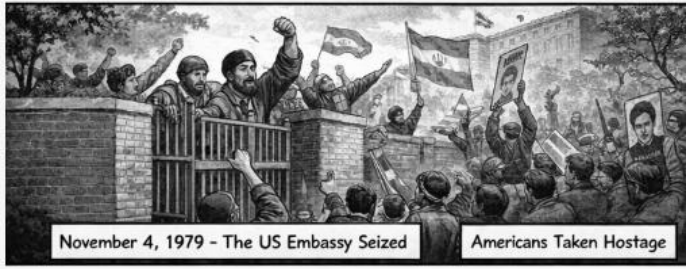
The US Embassy hostage crisis-situation (1979 – 1981)





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Iran’s military nuclear program

Why did it come about?

- Started under the Shah in 1957 via the US "Atoms for Peace" program
- Iran-Iraq War (1980–88) was the catalyst: Iraq used chemical weapons while the world stood by
- Covert enrichment via Pakistan’s A.Q. Khan network in the late 1980s–90s

What do they want to achieve?

- Nuclear deterrence: the “ultimate shield” against regime change by the US and Israel
- Regional hegemony: counterbalance Israel and project power in the Middle East
- A “hedging strategy”: master the fuel cycle while stopping just short of a weapon

Why are they so stubborn?

- National pride: enrichment is a symbol of sovereignty and Persian civilisational heritage
- Pressure backfires: sanctions and strikes reinforce the belief that only nukes can protect them
- Rare political consensus: hardliners and reformists alike defend enrichment rights
- The “North Korea lesson”: Iraq gave up WMD and was invaded; North Korea tested nukes and wasn’t

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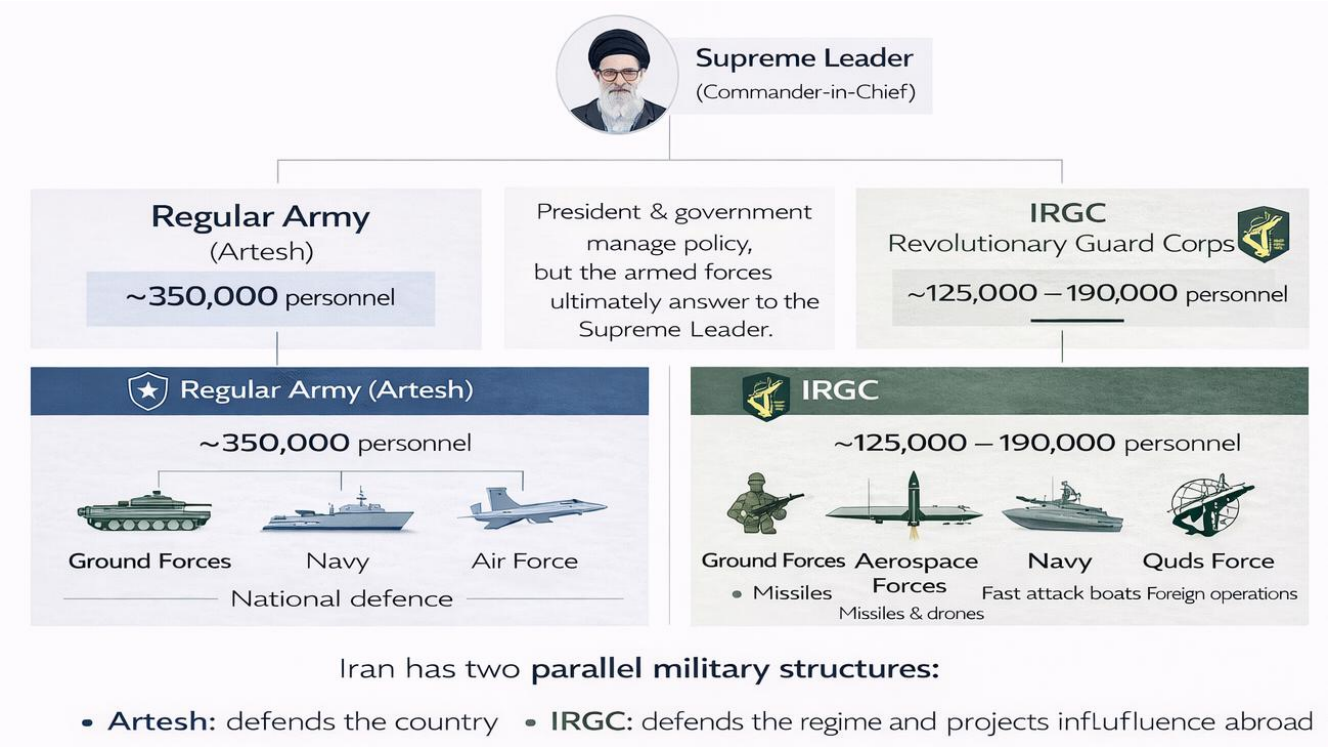
Iran’s dual military structure

IRGC stands for Islamic Revolutionary Guard Corps. They report directly to the Supreme Leader.



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Energy superpower, sanctioned

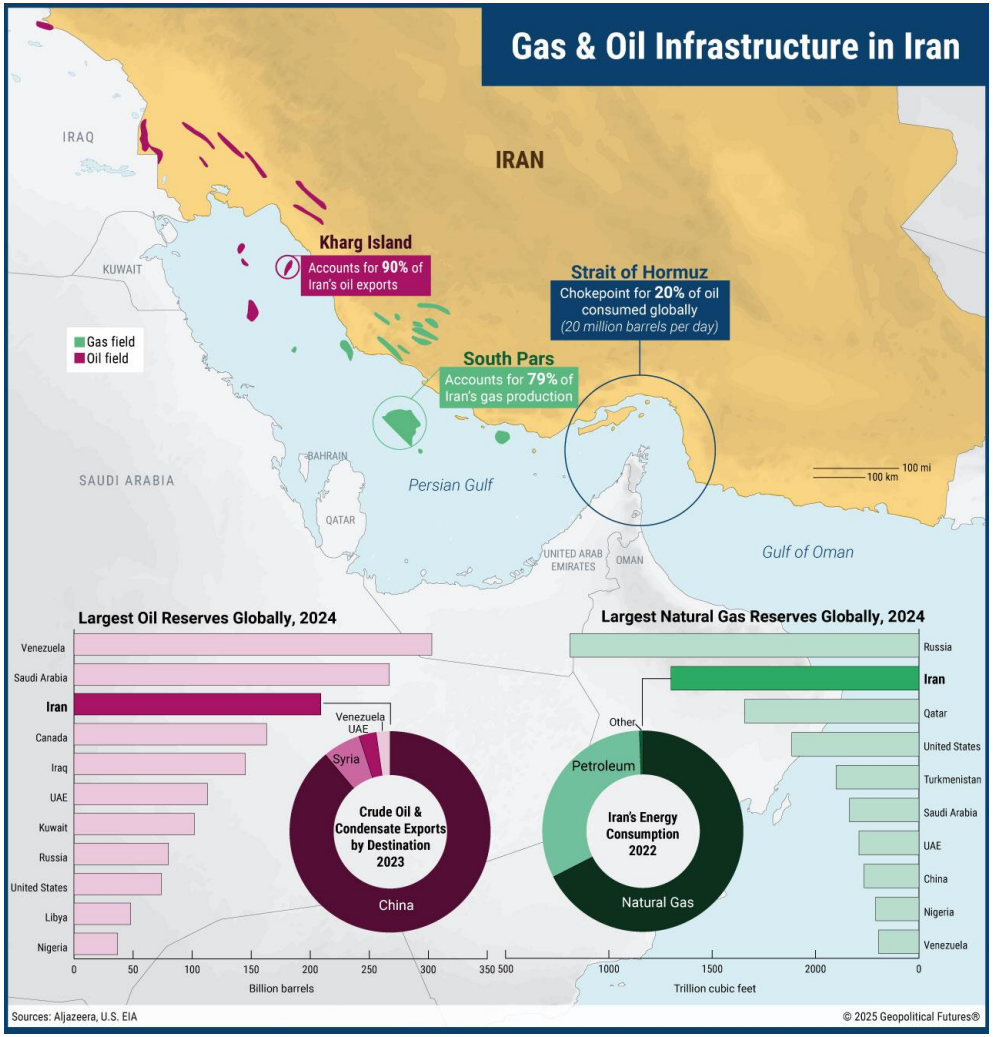
Iran sits on some of the world's largest fossil fuel deposits, yet sanctions severely limit its ability to monetise them.

Key facts

- **3rd largest** proven oil reserves globally (~209 bn barrels)
- **2nd largest** natural gas reserves (1,200 Tcf), behind only Russia
- South Pars (shared with Qatar) is the world's largest gas field

The sanctions paradox

- Decades of underinvestment have left ageing infrastructure and chronic power shortages
- China is the dominant buyer; exports grew ~87% from 2020 to 2023
- Exempt from OPEC+ cuts, but a return to full capacity could reshape global oil prices



A Top-Tier Producer Punching Below Its Weight

- Despite holding the 3rd largest oil and 2nd largest gas reserves, Iran ranks only 9th and 3rd in production, a gap that illustrates how much capacity remains locked
- Most gas output is consumed domestically (~70% of Iran's energy mix), leaving little for export and making it an energy giant that barely trades on the global market

ENERGY

The top 10 oil producers

The United States is the world's largest oil producer, followed by Saudi Arabia and then Russia.

	Country	Million barrels per day	Share of world total
1	United States	21.91	22%
2	Saudi Arabia	11.13	11%
3	Russia	10.75	11%
4	Canada	5.76	6%
5	China	5.26	5%
6	Iraq	4.42	4%
7	Brazil	4.28	4%
8	United Arab Emirates	4.16	4%
9	Iran	3.99	4%
10	Kuwait	2.91	3%

Oil includes crude oil, all other petroleum liquids and biofuels.
Source: US Energy Information Administration 2023 report | June 17, 2025

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ENERGY

The top 10 producers of natural gas

The United States is the world's largest natural gas producer, followed by Russia and then Iran.

	Country	Dry natural gas production (billion cubic feet)	Share of world total
1	United States	37,803	26%
2	Russia	21,664	15%
3	Iran	9,361	6%
4	China	8,454	6%
5	Canada	6,855	5%
6	Qatar	6,067	4%
7	Australia	5,343	4%
8	Norway	4,296	3%
9	Saudi Arabia	4,281	3%
10	Algeria	3,704	3%

Source: US Energy Information Administration, 2023 report | June 17, 2025

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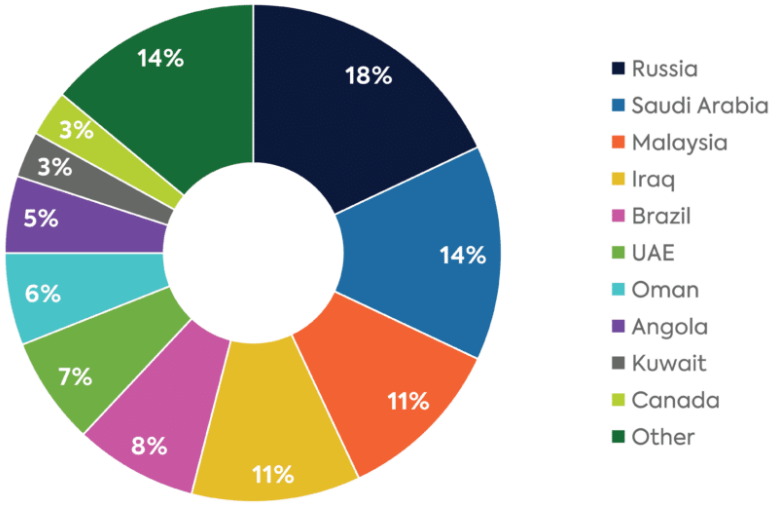
China: the sanctions paradox

- **Beijing's playbook:** US sanctions isolate Iran, but China exploits that isolation.
- Iranian crude trades at a USD 8–10/barrel discount to Brent, saving Chinese refiners billions annually: the very sanctions meant to weaken Iran hand Beijing a competitive edge.

- **Scale of dependency:** China absorbed over 80% of Iran's oil exports in 2025 (~1.4 mb/d), yet this represents only ~13% of China's seaborne imports. The relationship is asymmetric: Iran needs China far more than China needs Iran.

- **What role could China play?** Beijing holds quiet leverage: it could pressure Iran to accept nuclear concessions as a condition for continued purchases, or walk away entirely: Iran has no alternative buyer at scale.

Figure 1: China's top crude oil suppliers in 2025



Source: China's General Administration of Customs.

The Oil Chokepoint

How much moves daily?

- ~**20 million barrels/day** of oil flow through the Strait of Hormuz — ~20% of global petroleum consumption
- Plus ~1/5 of global LNG trade (mainly from Qatar)

Where is it going?

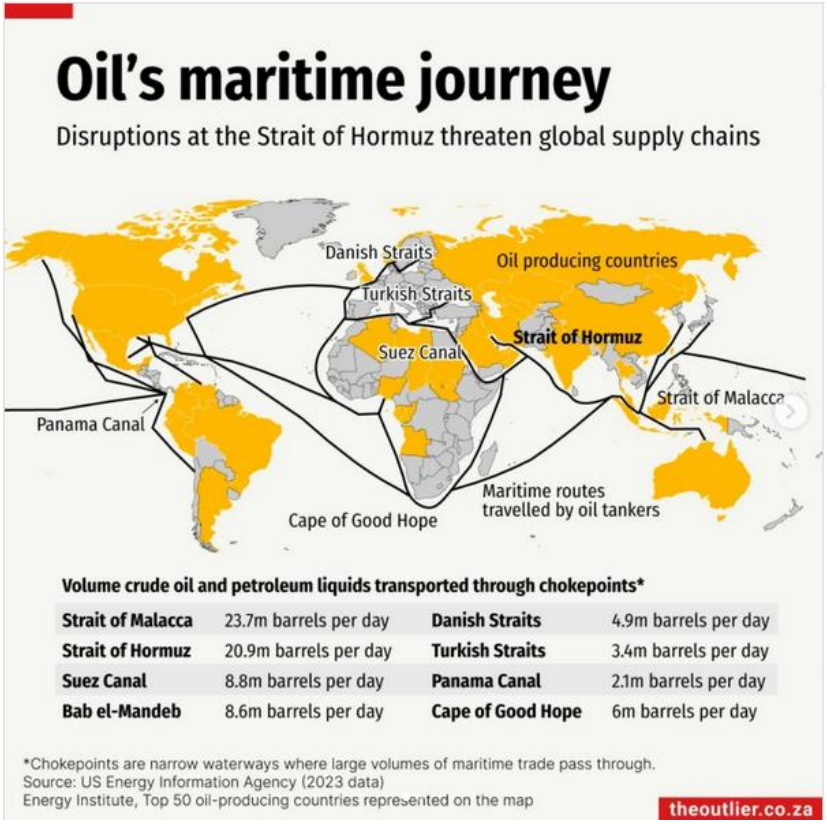
- Overwhelmingly to Asia — **84%** of Hormuz crude heads to China, India, Japan and South Korea

How does it travel?

- VLCCs and supertankers navigate two one-way shipping lanes, each just 3 km wide, separated by a 3 km buffer zone
- Persian Gulf → Strait of Hormuz → Indian Ocean → either east to Asia (~15–20 days to China) or west via Suez to Europe (~25–30 days)

Why it matters

- No viable alternative: bypass pipelines can handle only ~3.5 mb/d — just 17% of normal flow
- Iran controls the northern shore: any disruption could send oil above $100/barrel and trigger a global recession



The Squeeze on Global Aviation

Fewer routes

- Iran and Iraq airspace closed; Gulf hubs (Dubai, Doha, Abu Dhabi) shut or severely restricted
- Emirates, Qatar Airways and Etihad account for ~90,000 passengers/day through those hubs.

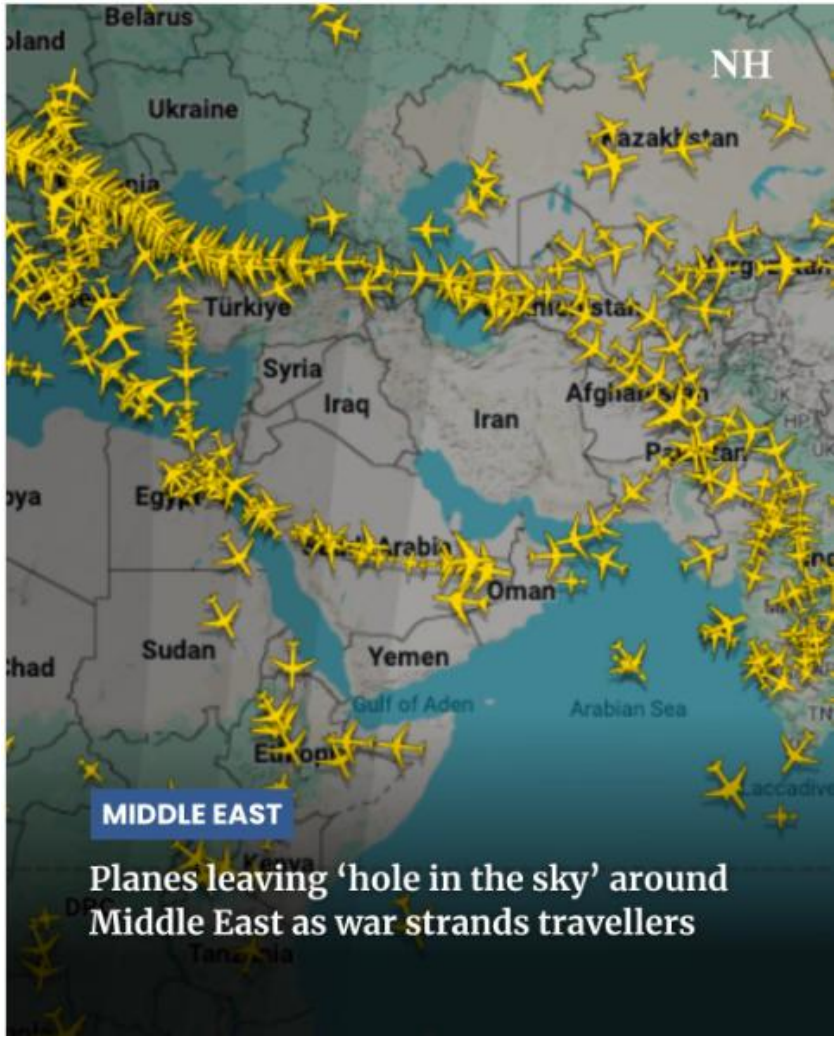
Higher jet fuel prices

- Brent crude **up ~30% year-to-date**; fuel is 25–35% of airline operating costs
- For Delta alone, every 10% rise in fuel adds **~USD 1 bn** to its annual fuel bill

Longer routes = higher consumption

- Rerouting adds **45 min to 4 hours** per flight and ~15% more fuel burn
- The double whammy: Ukraine's no-fly zone already blocked the northern corridor. Now, Iran/Iraq close the Middle East corridor too, leaving only narrow southern detours

Cost is compounding: airlines pay more per litre *and* burn more litres per flight.



The Patriot Missile System

- Built by **Raytheon** (system) and **Lockheed Martin** (missiles); operated by 18 nations
- Raytheon produces **~12 complete systems per year**
- Lockheed produces **~620 missiles per year** (plans to triple to 2,000)
- Cost: **>USD 1 bn** per battery | **~USD 4–5m** per missile

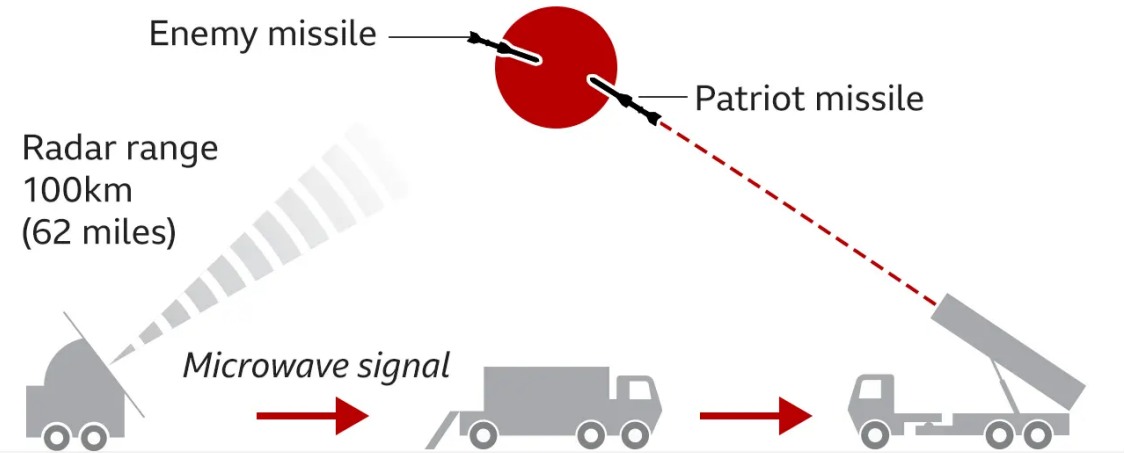
Alternatives

- **THAAD:** Lockheed Martin (US); higher altitude; USD 13–15m per round
- **SAMP/T:** Eurosam / MBDA (FR/IT); 360° radar
- **David's Sling:** Rafael (Israel); ~$1m/round, 75% cheaper
- **S-400:** Almaz-Antey (Russia); 400 km range; combat record unverified

Vulnerability

- US holds only **25%** of the missile stock it needs, a year's output could be spent in days of sustained conflict

How the Patriot missile system works



Radar
Scans sky to detect and locate incoming enemy threat

Control station
Guides missiles to target and can alter timing of detonation

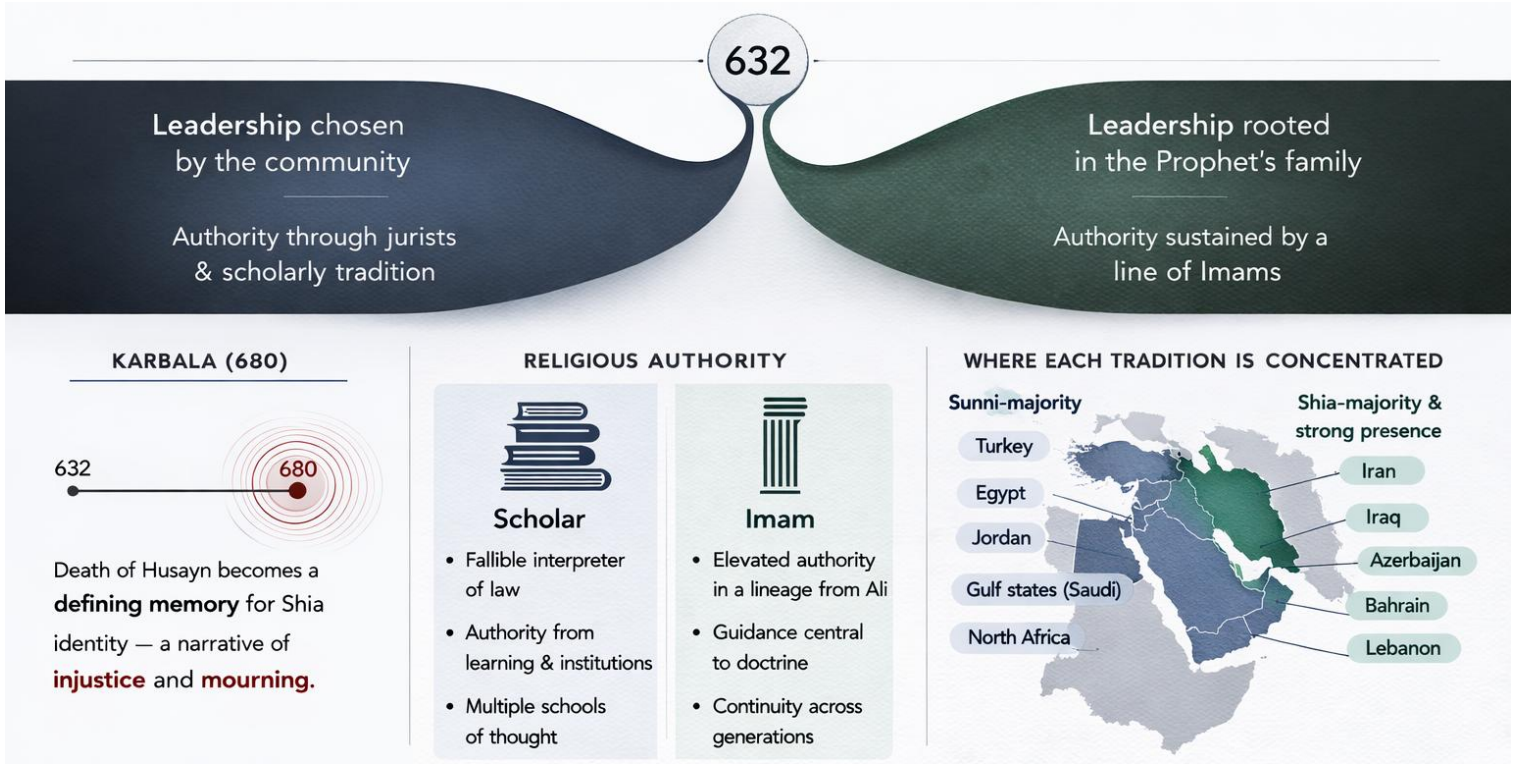
Missile launcher
Holds up to 16 missiles, which can be fired in less than nine seconds

Source: Raytheon Company

BBC

Sunni and Shia – One faith, different authority

Same God, Qur'an, Prophet, core practices, the split begins with the succession after 632 and the death of Muhammad



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A Persian version of the fall of the Berlin wall

If Iran were to normalise, or democratise, the consequences would be transformative, not just for Iranians but for the entire region.

1. Regional tensions resolved

- No more proxy wars: the network fuelling conflict in Iraq, Syria, Lebanon and Yemen collapses overnight
- The nuclear standoff ends; the Strait of Hormuz becomes a corridor of commerce, not a geopolitical flashpoint

Economic transformation

- Sanctions lifted: 209 bn barrels of oil and 1,200 Tcf of gas fully open to global investment and markets
- A young, educated population (92m, median age 33, 94% literacy) unleashed into the global economy

The bridge between worlds

- Iran sits at the crossroads of the Middle East, Central Asia and the Indian subcontinent, a natural gateway for trade, energy pipelines and transit
- A normalised Iran becomes the door between the ME and Asia, not a barrier, but a bridge to shared prosperity

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